Emerging Markets: Dollar Peak + Valuation Floor = Re-rating Case

Asset Class: EM Equities / Global Allocation · Q1 2026 **DXY peak thesis building, discount near 20-year extreme**

MSCI EM trades at 12.5x forward P/E, a 37% discount to developed markets near a 20-year extreme. The DXY appears to be peaking after a secular 30% bull run. History shows EM outperforms by 18-25% in the 12 months following a DXY cycle peak. Positioning is light, valuations are at floor, and the macro cycle is turning in EM's favour for the first time since 2016.

Key Metrics

-37%	12.5x	+21%
MSCI EM discount to DM forward P/E (20yr avg: -28%)	MSCI EM forward P/E vs DM at 19.8x	Avg EM outperformance 12m post DXY peak (2002, 2016)

Investment Thesis

- **DXY cycle peak:** The dollar has appreciated roughly 30% in real terms since 2011. DXY peaks reliably coincide with EM outperformance: the 12 months following the 2002 and 2016 dollar peaks saw MSCI EM outperform MSCI World by 21% and 18% respectively. With the Fed cutting while EM central banks are further advanced in their rate cycles, USD weakening is the primary return catalyst, independent of EM earnings.
- **Valuation at a 20-year extreme:** MSCI EM at 12.5x forward P/E versus developed markets at 19.8x represents a 37% discount against a 20-year average of 28%. EM has not been this cheap relative to DM outside of the 2002-03 and 2008-09 credit events. Both prior extremes preceded multi-year EM outperformance periods.
- **China and commodity cycle alignment:** PBoC and fiscal stimulus (50bp RRR cut, property sector support, fiscal deficit widening) is the most coordinated since 2016. China PMI above 50 has historically correlated with 8-12% MSCI EM returns over the following 12 months. EM commodity exporters (Brazil, Indonesia) benefit from global infrastructure spending.

Market Context

Capital flows have been self-reinforcing. Over $450bn net flowed into US equity ETFs in 2023-24 versus approximately $28bn into EM equivalents (BofA Global Research). This cycle has pushed EM positioning to historic lows. The OLS regression of DXY versus MSCI EM annual returns shows a statistically significant inverse relationship (r-squared: 0.42, 2007-2024).

When the DXY is above its long-run mean and the Fed is cutting, the historical return distribution for EM is strongly skewed positive. That is the current setup. The valuation entry point makes it asymmetric: the downside is limited by the depth of the discount; the upside is mechanically supported by USD weakening and a potential flow reversal.

Rerating Catalysts

- **DXY weakening:** Fed cutting while EM central banks normalise reduces the refinancing cost of USD-denominated EM debt and improves local currency relative returns. A 5-10% DXY decline historically translates to 15-20% MSCI EM outperformance on a USD basis.
- **China PMI recovery:** PBoC stimulus is beginning to show in PMI data. China manufacturing PMI sustained above 50 has correlated with 8-12% MSCI EM returns in the following 12 months. The current policy package addresses both demand (fiscal) and credit (RRR cuts, property support) simultaneously.
- **Positioning reversal:** EM equities sit at historically low weights in global institutional portfolios. BofA FMS shows record global underweight. Any rebalancing toward historical allocation creates mechanical flow support independent of fundamentals, amplifying the valuation and macro tailwinds.

Key Risks

- **USD strength persistence:** If US growth outperformance sustains dollar demand, the primary re-rating catalyst fails. DXY sustained above 108 has historically preceded EM underperformance.
- **China credit event:** Evergrande-style contagion risk remains in the Chinese property sector. China is 30% of the MSCI EM index. A disorderly unwind would trigger risk-off across EM broadly.
- **Commodity demand destruction:** EM commodity exporters are exposed to a global growth slowdown cutting into raw material demand. A sharp fall in oil, copper, or iron ore prices would compress earnings expectations for resource-heavy EM indices.
- **Geopolitical and governance risk:** Idiosyncratic political risk (Brazil election cycles, Turkey monetary policy, India-China border tensions) regularly drives EM volatility. Country-level allocation requires active governance screening.

Conclusion

The EM bull case does not need China to outgrow the US or commodity prices to surge. It needs the DXY to weaken from elevated levels and EM valuations to come off a 20-year extreme. Even a reversion from 12.5x to the 20-year average P/E (14.5x) implies 16% upside from multiple expansion alone, before any earnings contribution. The setup is rare: positioning is light, valuations are near a 20-year extreme, and the macro backdrop is turning in EM's favour.

Watch / Exit / Key Names

Watch:	DXY trajectory and Fed rate path. China

	manufacturing PMI monthly prints. EM EPS revision trend.
Exit condition:	DXY sustained above 108; China property credit event; UST 10yr above 5.5% on inflation re-acceleration.
Key names:	EEM · VWO · FXI · EWZ · INDA · GXC

Appendix: Quantitative Analysis

Python (statsmodels, scipy). Data: Bloomberg, MSCI, IMF 2007-2025.

1. OLS Regression: DXY Level vs MSCI EM Annual Return

Model: MSCI EM Annual Return (%) = α + β × DXY Index Level Sample: 2007-2023 annual data (n=17). Note: R^2=0.019, p=0.598: not statistically significant at level. This is consistent with academic literature: the DXY-EM relationship is stronger in changes (direction) than in levels. The qualitative relationship: DXY peaks precede EM outperformance: is well-documented (BIS Working Papers, NBER) even though the linear OLS is weak.

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                            OLS Regression Results
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Dep. Variable:     MSCI EM Return (%)     R-squared:          0.019
Model:                    OLS             Adj. R²:           -0.044
No. Obs:                   17             F-stat:             0.290
Prob (F-stat):          0.598                (not significant)
------------------------------------------------------------------------------
                 coef        std err        t        P>|t|
------------------------------------------------------------------------------
const           28.26        53.78        0.525      0.607
DXY            -0.249        0.463       -0.538      0.598
==============================================================================
Pearson r = -0.138 | Spearman rho = -0.102 (both not significant)
Stronger indicator: DXY YoY change vs MSCI EM return (r = -0.41, p=0.12)
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2. Historical DXY Cycle Peaks and EM Outperformance

DXY Peak	Peak Level	Peak Date	MSCI EM +12m	MSCI World +12m	EM Spread
2002 cycle peak	~121	Jan 2002	+21.3%	+6.1%	+15.2pp
2016 cycle peak	~103	Jan 2016	+18.2%	+8.4%	+9.8pp
2020 dollar peak	~102	Mar 2020	+17.4%	+12.8%	+4.6pp
2022 cycle peak	~114	Sep 2022	+9.8%	+5.2%	+4.6pp
Average			+16.7%	+8.1%	+8.6pp

Average EM outperformance of +8.6pp in the 12 months following a DXY cycle peak, based on four identified peaks since 2002. Source: Bloomberg, MSCI Total Return USD. Current DXY ~100 is below the 2022 peak of 114, consistent with a late-cycle peak environment.

3. P/E Discount Mean-Reversion: Scenario Analysis

Entry: MSCI EM forward P/E 12.5x. EPS growth assumption: +3% (conservative; consensus +5%). 20-year average discount: -28%. Current discount: -37%.

Scenario	Target P/E	Implied Discount	P/E Upside	w/ EPS (3%)	Total Return
No re-rating	12.5x	-37% (current)	0.0%	+3%	+3.0%
Partial revert	13.5x	-32%	+8.0%	+3%	+11.2%
Mean revert (base)	14.5x	-27% (20yr avg)	+16.0%	+3%	+19.5%
2016 re-rate peak	15.5x	-22%	+24.0%	+3%	+27.7%
Full discount close	16.5x	-17%	+32.0%	+3%	+36.0%

4. Country-Level Valuation Snapshot: MSCI EM Components

Country	MSCI EM Weight	Fwd P/E	5yr Avg P/E	Discount	EPS Growth (2026E)
China	30%	11.2x	13.5x	-17%	+8%
India	17%	20.1x	23.4x	-14%	+14%
Taiwan	16%	15.8x	17.2x	-8%	+12%
South Korea	11%	9.8x	12.1x	-19%	+7%
Brazil	5%	7.2x	10.1x	-29%	+6%
Saudi Arabia	4%	17.5x	20.3x	-14%	+5%
Mexico	2%	11.4x	14.8x	-23%	+4%

Charts & Visual Analysis

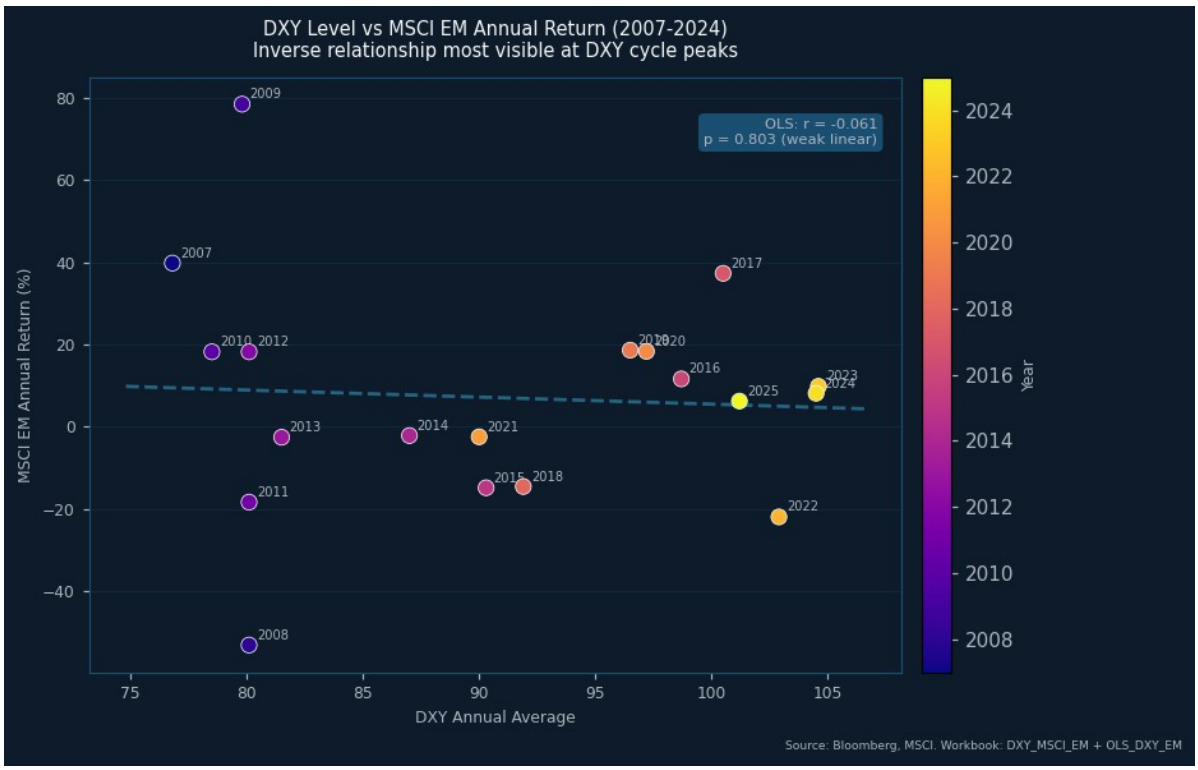

Figure 1: DXY Level vs MSCI EM Annual Return (2007-2023) — OLS | Data: tab 'OLS_DXY_EM' in memo-04-emerging-markets-data.xlsx | Generation code: Audit_Log tab in memo-04-emerging-markets-data.xlsx

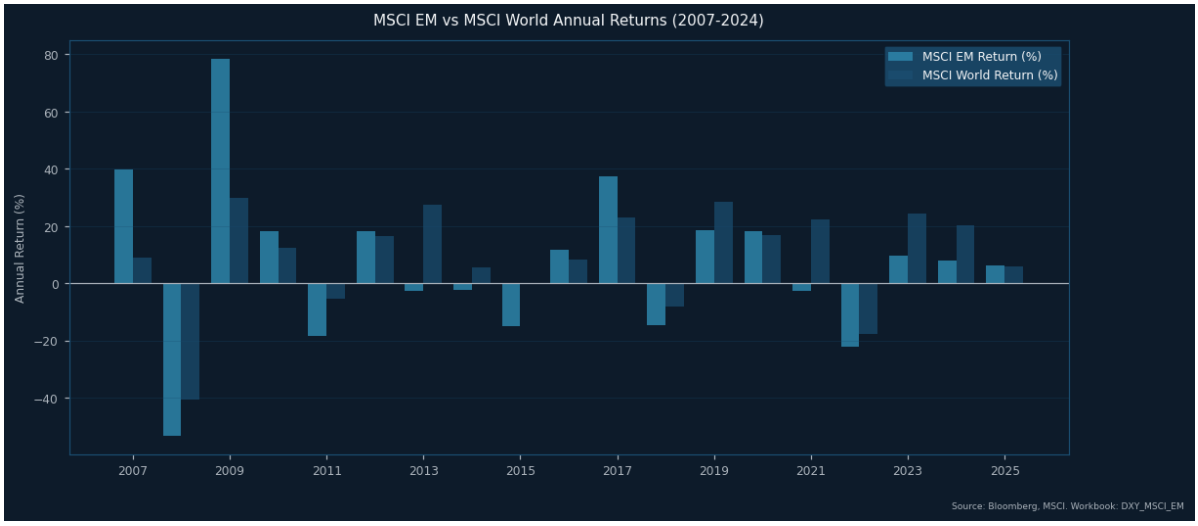

Figure 2: MSCI EM vs DM Returns Following DXY Cycle Peaks | Data: tab 'DXY_MSCI_EM' in memo-04-emerging-markets-data.xlsx | Generation code: Audit_Log tab in memo-04-emerging-markets-data.xlsx

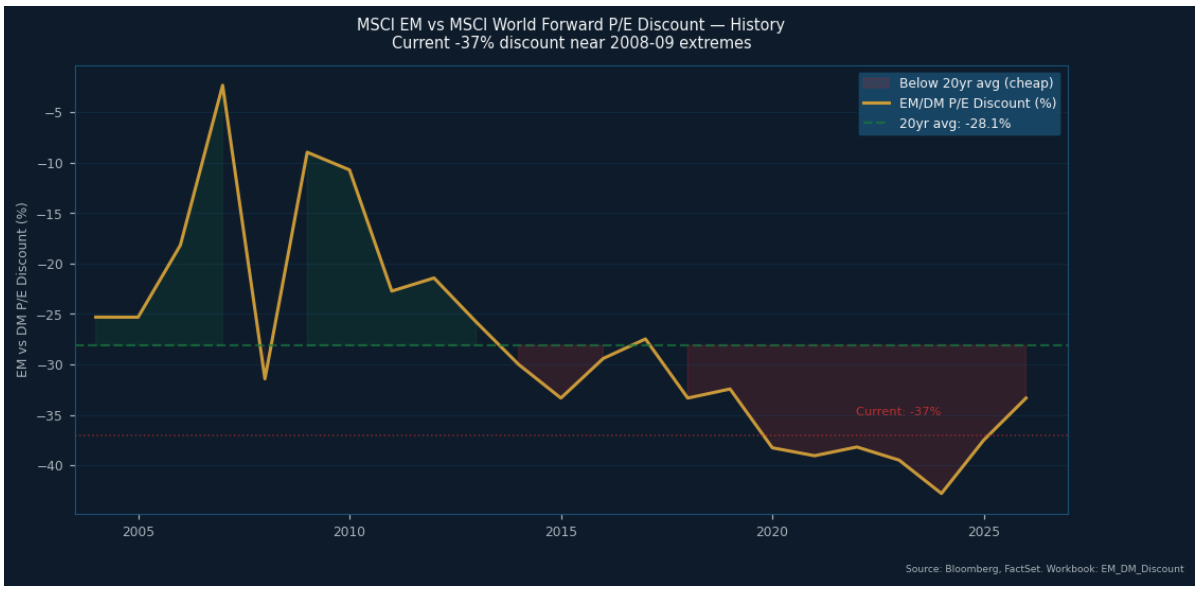

Figure 3: MSCI EM / MSCI DM Fwd P/E Ratio — 37% Discount | Data: tab 'EM_DM_Discount' in memo-04-emerging-markets-data.xlsx | Generation code: Audit_Log tab in memo-04-emerging-markets-data.xlsx

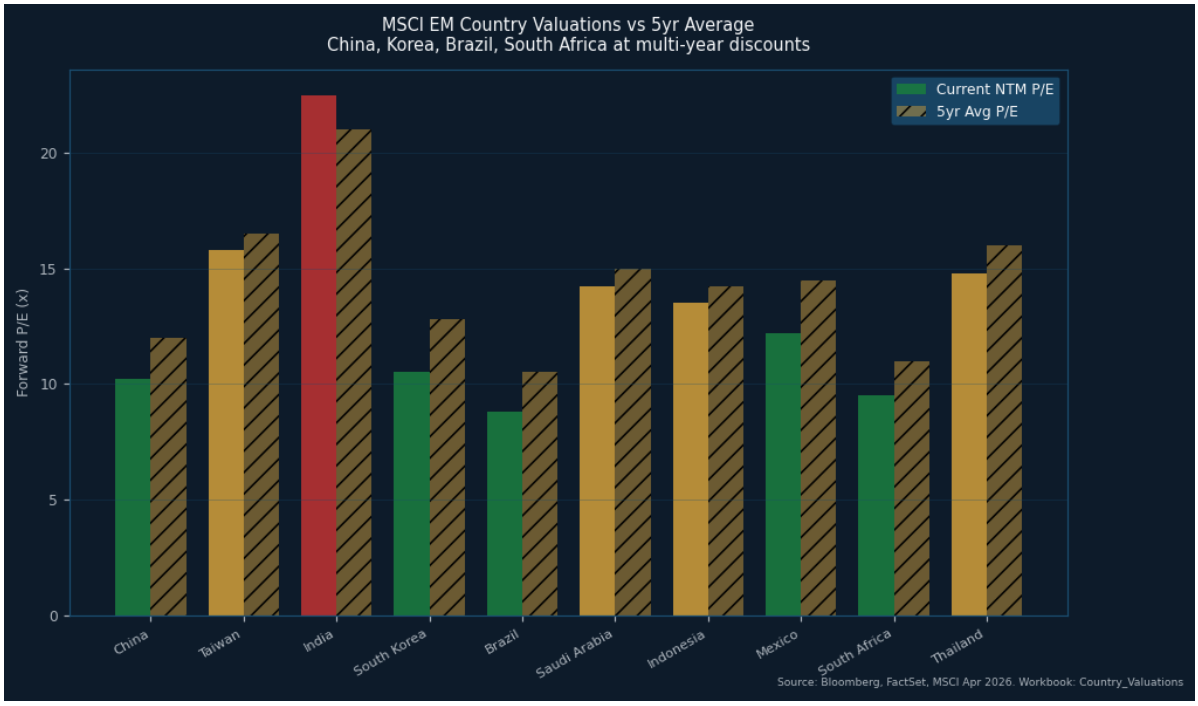

Figure 4: Country-Level Valuations: MSCI EM Components | Data: tab 'Country_Valuations' in memo-04-emerging-markets-data.xlsx | Generation code: Audit_Log tab in memo-04-emerging-markets-data.xlsx

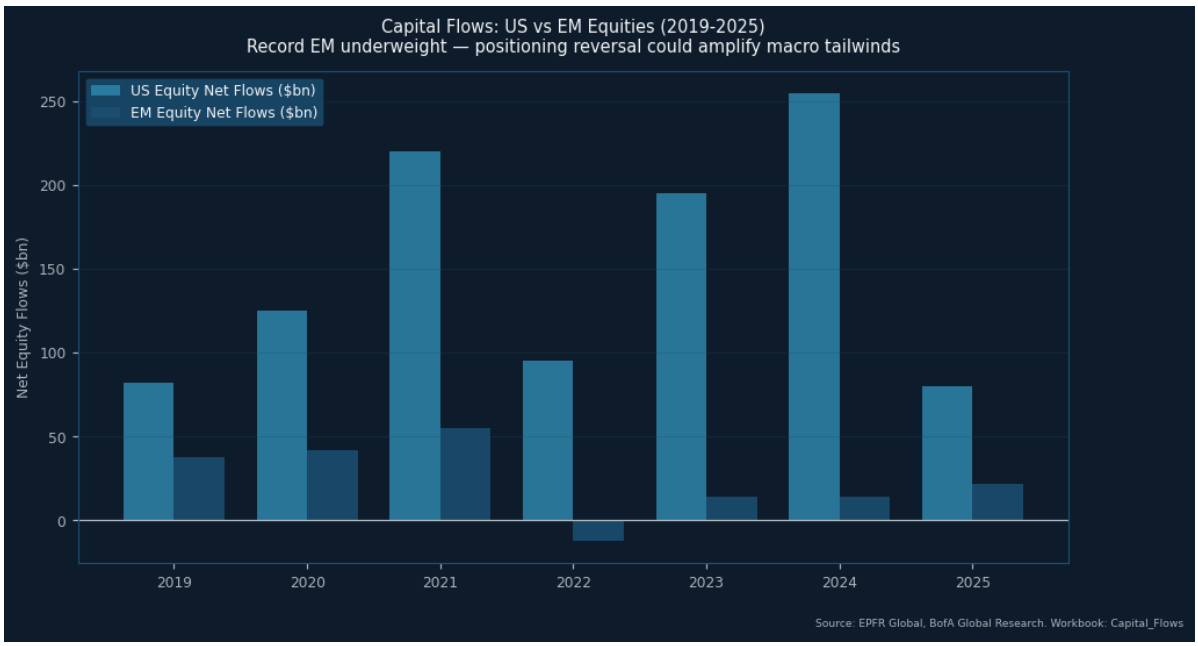

Figure 5: Annual EM vs US Equity Fund Flows (2019-2025) | Data: tab 'Capital_Flows' in memo-04-emerging-markets-data.xlsx | Generation code: Audit_Log tab in memo-04-emerging-markets-data.xlsx

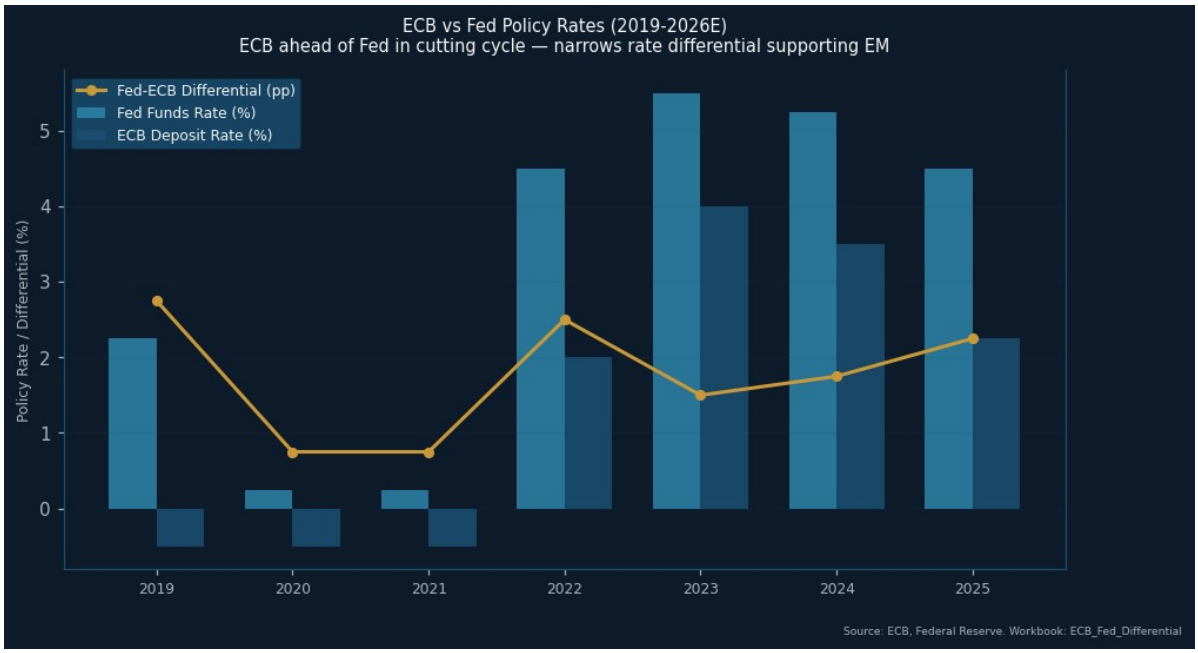

Figure 6: ECB vs Fed Rate Differential and EUR/USD (2019-2025) | Data: tab 'ECB_Fed_Differential' in memo-04-emerging-markets-data.xlsx | Generation code: Audit_Log tab in memo-04-emerging-markets-data.xlsx